

CARE

RATING RATIONALE

Entity: Pinnacle Infrastructure Projects Ltd

Rating: BBB-/Watch Negative

Date: November 15, 2024

Instrument	Size (■ Cr)	Rating
Long-term Bank Facilities	1,950.00	BBB-/Watch Negative
Short-term Bank Facilities	650.00	A3

RATING DRIVERS

Key Strengths:

- Presence in essential infrastructure segment with government spending support
- Established execution capability in project delivery

Key Weaknesses / Rating Sensitivities:

- High leverage with debt/equity above sector comfort levels
- Thin profitability with PAT margins under pressure
- Negative free cash flow requiring continued external funding
- Working capital elongation leading to liquidity stress
- Watch Negative reflects risk of further deterioration if cash flows don't improve
- Rating downgrade if D/E exceeds 4.0x or ICR falls below 1.0x

FINANCIAL SUMMARY

Parameter	FY2024	FY2023
Revenue (■ Cr)	1,200.00	1,050.00
EBITDA Margin (%)	24.7	24.0
PAT Margin (%)	2.8	2.2
Debt/Equity (x)	3.33	2.99
Interest Coverage (x)	1.31	1.25

Analyst: Rating Team, CARE

Disclaimer: This rating is not a recommendation to buy, sell or hold.